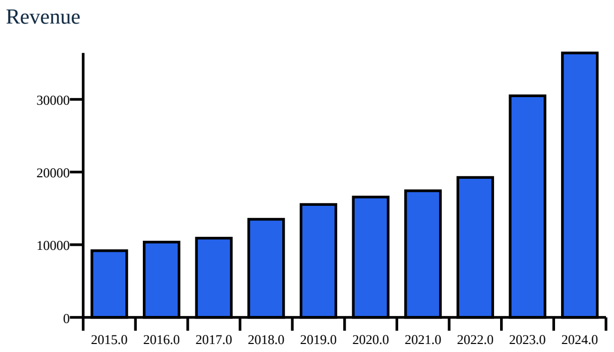
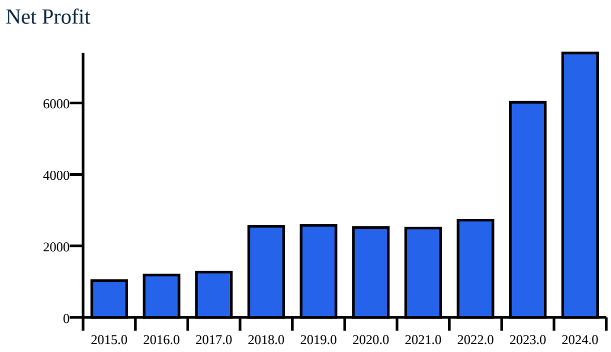
Shriram Finance Ltd

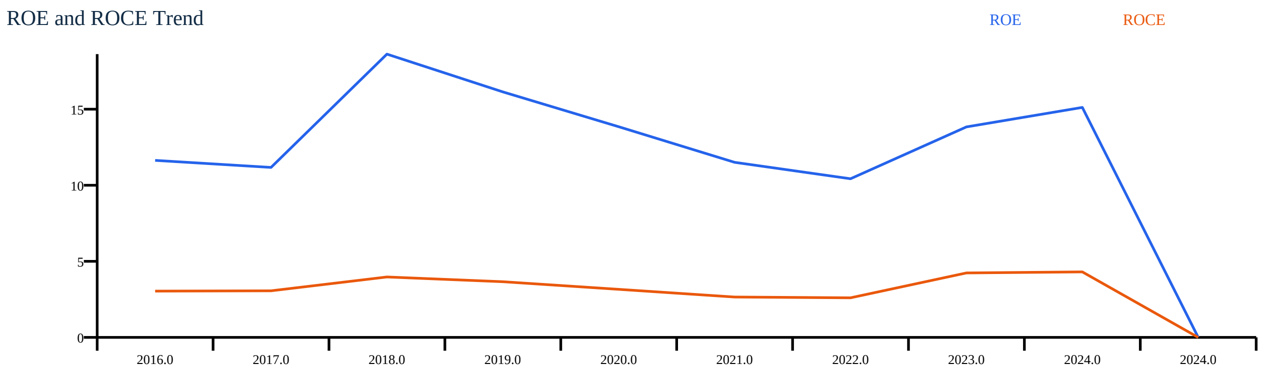
SHRIRAMFIN | Financials

Revenue	Net Profit	ROE
36,388	7,399	N/A
ROCE	Debt / Equity	CFO Quality
N/A	N/A	-2.61

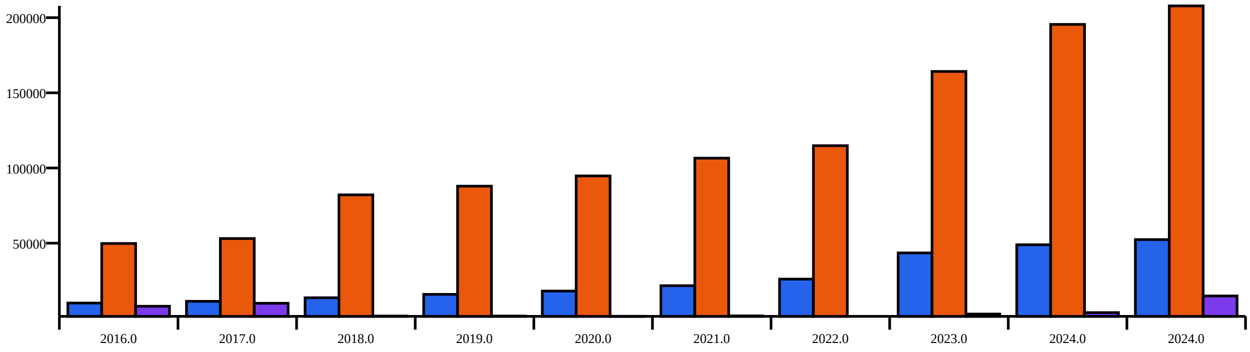
10-Year Financial Performance



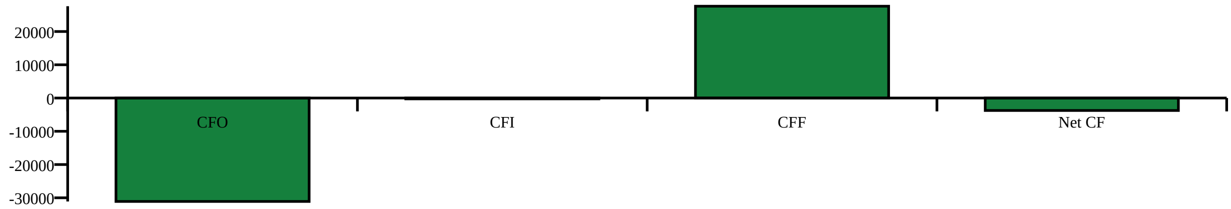




Balance Sheet Composition



Latest Year Cash Flow



Pros

- Return on equity improving for 3 consecutive years shows strengthening business quality
- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Operating profit margin above 25% indicates strong pricing power and cost discipline

Cons

- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations

Capital Allocation

Growth Funded by Debt